4. INCOME TAXES

The Company accounts for income taxes in accordance with the provisions of Statement of Financial Accounting Standards No. 109 (SFAS 109), Accounting for Income Taxes. The Company files a consolidated federal income tax return with its wholly-owned subsidiaries.

The domestic and foreign components of income before income taxes are as follows:

	AS OF NOVEMBER 30,		
	2003	2002	2001
Domestic	$14	$15	$173
Foreign	3	27	14
Total	$17	$42	$187

The components of the Company's income tax (benefit) provision for income taxes are as follows:

	AS OF NOVEMBER 30,		
	2003	2002	2001
	(DOLLARS IN MILLIONS)		
CURRENT			
United States federal	$(4)	$(14)	$ 7
State and local	3	(4)	(19)
Foreign	5	18	5
	4	--	(7)
DEFERRED			
United States federal	(9)	16	47
State and local	(4)	6	19
Foreign	4	(10)	--
	(9)	12	66
Income tax (benefit) provision	$(5)	$ 12	$ 59

A reconciliation of the U.S. federal statutory income tax rate to the Company's effective income tax rate is as follows:

	YEAR ENDED NOVEMBER 30,		
	2003	2002	2001
Statutory federal income tax rate	35.0%	35.0%	35.0%
State and local income taxes, net of federal income tax benefit	1.6	3.6	2.7
Tax settlements, including interest	(56.2)	(8.9)	(7.2)
Foreign plant closure	(51.0)	--	--
Benefit of charitable gift	--	(1.4)	--
International operations taxed at other than the U.S. statutory rate	(14.5)	1.5	0.4
Write-off of French deferred taxes	51.7	--	--
Other, net	4.0	(1.5)	0.7
Effective income tax rate	(29.4)%	28.3%	31.6%

The Company reduced its 2003 income tax expense by $8 million for the tax benefit resulting from the closure of a plant in France and by $9 million for domestic, federal and state income tax settlements for 1994 through 2001. The Company is under routine examinations by domestic and foreign tax authorities. While it is difficult to predict the outcome or timing of a particular tax matter, the Company believes it has adequately provided for any reasonable foreseeable outcome related to these matters, and it does not anticipate any material earnings impact from their ultimate resolutions.

The decrease to the effective tax rate attributable to international operations is a result of lower rates in China, the Czech Republic and Canada coupled with pre-tax income, and higher rates in Germany coupled with pre-tax losses, along with the effect of rate reductions on deferred taxes in the Czech Republic and Canada. The increase to the effective tax rate attributable to the write-off of French deferred taxes is due to the Company's determination that it is more likely than not that the tax benefit of net operating losses in France will not be realized in the foreseeable future.

The Company reduced its 2002 income tax expense by $1 million for the tax benefit of a charitable gift of land to the County of Muskegon in Michigan and by $4 million due to the receipt of federal and state income tax settlements.

The Company reduced its 2001 income tax expense by $13 million due to the receipt of state income tax settlements.

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and liabilities are as follows:

	AS OF NOVEMBER 30,	
	2003	2002
	(DOLLARS IN MILLIONS)	
DEFERRED TAX ASSETS		
Accrued estimated costs	$ 62	$ 60
Net operating loss and tax credit carry-forwards	48	30
Other postretirement and employee benefits	74	82
Total deferred tax assets	184	172
Valuation allowance	(14)	(8)
Deferred tax assets, net of valuation allowance	170	164
DEFERRED TAX LIABILITIES		
Discontinued operations	2	--
Depreciation	15	23
Pensions	129	133
Other	7	--
Total deferred tax liabilities	153	156
Total net deferred tax assets	17	8
Less: current deferred tax assets/(liabilities)	7	(1)
Noncurrent deferred tax assets	$ 10	$ 9

The Company has worldwide tax basis net operating loss carry-forwards totaling $328 million, the majority of which are related to state operations, which expire beginning in 2004. The remaining portion relates to foreign operations, most of which have indefinite carry-forward periods. The valuation allowance relates primarily to state net operating losses and increased by $6 million in 2003, $3 million in 2002 and $2 million in 2001. Included in the deferred tax assets is a foreign tax credit carry-forward of $4 million, which expires beginning in 2005; and a research tax credit carry-forward of $2 million, which expires beginning in 2011. The Company does not provide deferred taxes on unremitted foreign earnings as it is the Company's intention to reinvest these earnings indefinitely, or to repatriate the earnings only when it

is tax efficient to do so. Cumulative estimated unremitted earnings of foreign subsidiaries were $110 million as of November 30, 2003. Cash paid during the year for income taxes was $8 million in 2003, $14 million in 2002, and $15 million in 2001.